

Question #1 of 180

Question ID: 1420210

A professional organization *most appropriately* enforces upon its members:

- A)** legal standards only.
 - B)** ethical standards only.
 - C)** both legal and ethical standards.
-

Question #2 of 180

Question ID: 1420229

Moe Girard, CFA, works in a large group that decides on recommendations by consensus. Girard does not always agree with the group consensus, but he is confident in the group's analytical ability. To comply with the Code and Standards when the group issues a recommendation with which he disagrees, Girard:

- A)** does not need to take any action.
 - B)** must request that his name be removed from the group's report.
 - C)** should include his independent opinion as an appendix to the group's report.
-

Question #3 of 180

Question ID: 1420235

Thomas Baker recently passed the Level III CFA examination. Baker is reviewing a draft of the firm's marketing material to be distributed after he receives his CFA charter. One passage reads, "Baker passed all three Levels of the CFA exam on his first attempts in three consecutive years." Is this statement in compliance with CFA Institute Standards?

- A)** Yes, as long as it is a statement of fact.
 - B)** No, because it implies that Baker has superior ability.
 - C)** No, because Members or Candidates who passed the exams on their first attempts may not differentiate themselves from those who did not.
-

Question #4 of 180

Question ID: 1420211

Jimmy Deininger, CFA, manages several client portfolios. One of his clients offers him use of a cabin in a vacation spot because the client's investment results under Deininger's management have exceeded the client's goals. Deininger discloses the gift to his employer. With reference to the Standards of Practice, Deininger:

- A)** has complied with the Standards and may accept the gift.
 - B)** is not permitted to accept the gift because he does not have permission from his employer.
 - C)** has appropriately disclosed the gift to his supervisor, but must also disclose it to his other clients.
-

Question #5 of 180

Question ID: 1420231

Carlos Mendez, CFA, is beginning an investment advisory relationship with a new client and plans to formulate an investment policy statement (IPS) for the client. According to the Standard concerning suitability, Mendez is *least likely* to consider the client's:

- A)** regulatory and legal circumstances.
 - B)** conflicts of interest.
 - C)** performance measurement benchmarks.
-

Question #6 of 180

Question ID: 1420237

With regard to performance measurement, the Global Investment Performance Standards for firms:

- A)** require time-weighted rates of return.
 - B)** require money-weighted rates of return.
 - C)** permit both time-weighted and money-weighted rates of return.
-

Question #7 of 180

Question ID: 1420213

Telling potential investors that a short-term U.S. Treasury fund contains "guaranteed" securities:

- A)** does not violate any Standard.
 - B)** violates the Standards by misrepresenting the securities in the fund.
 - C)** violates the Standards by failing to consider the suitability of the fund for potential investors.
-

Question #8 of 180

Question ID: 1420219

A portfolio manager of a city's police pension fund owes his duty of loyalty to the:

- A)** city's taxpayers.
 - B)** pension trustees.
 - C)** plan beneficiaries.
-

Question #9 of 180

Question ID: 1420216

Riley and Smith, a broker-dealer, is bringing to market a secondary offering for All Pro Company. One of the reasons All Pro selected the firm to lead the offering is because Riley and Smith has been a market maker for All Pro's stock for the past five years. The firm is in possession of material nonpublic information relevant to All Pro's offering. To be in compliance with the Code and Standards, Riley and Smith:

- A)** may not serve as underwriter for the same stock in which it acts as a market maker.
 - B)** should continue to serve as market maker but take only the contra side of unsolicited customer trades.
 - C)** should abstain from making a market in All Pro stock during the offering period but may resume market making activities after the offering.
-

Matt O'Neill, CFA, is an advisor for Century Investments, a retail financial services firm. Century has a firmwide policy that its advisors recommend the firm's own investment products to clients unless Century does not offer a product suitable for the client's needs. Can O'Neill follow his firm's policy without violating the Code and Standards?

- A) Yes, if O'Neill discloses this policy to his clients.
 - B) Yes, if his firm's offerings are competitive with other available products.
 - C) No, because the policy conflicts with the Standard on loyalty, prudence, and care.
-

Question #11 of 180

Question ID: 1420232

Wayne Sergeant, CFA, is an independent investment advisor who works with individuals. A longtime client asks Sergeant if he can recommend an attorney. Sergeant refers his client to Jim Chapman, a local attorney who is also a friend of Sergeant's. Previously, Chapman had agreed to perform some legal work for Sergeant in exchange for the referral of new clients. Do Sergeant's actions violate CFA Institute Standards of Professional Conduct?

- A) No, because the client is under no obligation and is still free to select another attorney.
 - B) Yes, because Sergeant is making a recommendation that is not independent and objective.
 - C) Yes, because Sergeant did not disclose the nature of his arrangement with Chapman to his client.
-

Question #12 of 180

Question ID: 1420238

Which of the following statements is *most accurate* regarding the GIPS requirement for definition of the firm?

- A) The firm must be the distinct business entity held out to clients.
- B) If a firm has offices in different geographical locations, the firm definition may include just the primary location where all the investment decisions are made.

- C) The firm definition may include the corporation or a subsidiary of the corporation, but the firm cannot be defined as simply a “division” of the corporation.
-

Question #13 of 180

Question ID: 1420225

Ron Brenner, CFA, manages portfolios for individuals. One of his clients, John Perlman, offers Brenner several inducements above those provided by his employer to motivate superior future performance in managing his portfolio. Brenner notifies his manager via e-mail about the terms of this offer, and his employer grants permission. According to the Standard on additional compensation arrangements, Brenner:

- A) must notify “all parties involved,” which includes his other clients.
 - B) has taken all the actions required to accept the arrangement.
 - C) should decline this arrangement because it could cause partiality in the handling of other client accounts.
-

Question #14 of 180

Question ID: 1420226

Denise Chavez, CFA, is the senior energy analyst for a major brokerage firm. Chavez is also a social and environmental activist, and is opposed to coal-fired power plants. She has been arrested twice for trespassing during organized pickets at some of these power plants. Chavez has recently accepted a volunteer position as Board member of Greensleeves, a foundation that lobbies governments on environmental issues. The position will involve significant volunteer hours, including some travel. Are Chavez's activities consistent with CFA Institute Standards?

- A) Chavez violated the Standards by being arrested, but the volunteer Board position is not a violation.
 - B) The environmental activism is not a violation, but the Standards prohibit Chavez from accepting the Board position.
 - C) The activism and subsequent arrests are not a violation, but Chavez must disclose the Board position to her employer.
-

Question #15 of 180

Question ID: 1420222

With respect to a client's confidential information, if a member or candidate believes a client is engaging in illegal activity, the member should *most appropriately*:

- A)** preserve the client's confidentiality.
 - B)** report the client to the appropriate governmental authorities.
 - C)** seek advice from his firm's legal counsel or compliance department.
-

Question #16 of 180

Question ID: 1420214

Ray Brown, CFA, gives prospects his firm's marketing materials, not prepared by him, that indicate he has a graduate degree from State University, when in fact he did graduate work there but did not receive a degree. Brown informed the marketing department of this error when he first saw it. Brown has:

- A)** violated the Standards by misrepresenting his qualifications.
 - B)** not violated the Standards because he has informed his firm of the mistake.
 - C)** not violated the Standards because he did not prepare the marketing materials or misrepresent his credentials to his firm.
-

Question #17 of 180

Question ID: 1420230

Jenny Pickler, a Level II CFA Candidate, writes an economic forecast containing several interest rate projections. Her firm's investment committee reviews Pickler's report and changes several of the interest rates Pickler had forecast. To comply with CFA Institute Standards, Pickler:

- A)** does not need to take any further action.
 - B)** should ask that her name be removed from the report.
 - C)** is required to independently review the data supporting the investment committee's changes.
-

Question #18 of 180

Question ID: 1420212

Which of the following statements is *most accurate* about the Standard concerning knowledge of the law? Members and candidates are responsible for violations:

- A)** that are proven by a regulatory authority.
 - B)** of which they are aware or should be aware.
 - C)** in which they knowingly participate or assist.
-

Question #19 of 180

Question ID: 1420217

Andrew Pollard, CFA, overhears two executives from a multinational oil company discussing an unexpectedly large earnings increase the company is preparing to announce the following morning. When Pollard gets home that evening, he places an order to buy shares in this oil company. Which of the following *best* describes this situation?

- A)** Pollard violated the Standards by acting on material nonpublic information.
 - B)** There is no violation of CFA Institute Standards, since this was simply an overheard conversation.
 - C)** Pollard violated CFA Institute Standards by not contacting counsel for advice before placing the trade.
-

Question #20 of 180

Question ID: 1420215

Recommended procedures for compliance with the Standard concerning misconduct suggest that firms in the investment industry should:

- A)** periodically test their employees' knowledge of applicable laws, regulations, and the firm's code of ethics.
- B)** periodically inform employees of violations that have occurred and the disciplinary actions that the firm took against the employees involved.
- C)** check references of potential employees to verify that they are of good character and eligible for employment in the investment industry.

Question #21 of 180

Question ID: 1420233

Which of the following statements is *most accurate*? An analyst who changes employers and wants to maintain coverage of a stock:

- A) may copy supporting records from the prior firm and use them at the new firm.
 - B) must re-create the supporting records at the new firm with information from public sources or from the covered firm.
 - C) may maintain his recommendations at the new firm without re-creating the supporting documentation if those recommendations had a reasonable basis.
-

Question #22 of 180

Question ID: 1420236

After taking the Level I exam, Willie Winchester posts a comment on a social media website wondering why the exam had no questions about interest rate risk and currency risk. Winchester has:

- A) violated the Code and Standards by discussing the CFA Program on social media.
 - B) violated the Code and Standards by disclosing confidential information about the exam.
 - C) not violated the Code and Standards because he did not disclose specific exam questions.
-

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Question ID: 1420223

A member provides a client with an investment performance presentation that does not include detailed information, but reflects the member's reasonable efforts to present results that are fair, accurate, and complete. Has the member complied with the Standard related to performance presentation?

- A) Yes, the member has met the requirements of the Standard.
- B) No, because the performance presentation must comply with Global Investment Performance Standards.

- C)** No, because “reasonable efforts” do not ensure that the presentation is fair, accurate, and complete.
-

Question #24 of 180

Question ID: 1420227

With regard to independent practice by Members and Candidates who are employed, the Code and Standards specify that:

- A)** undertaking independent practice includes preparations to begin such practice.
- B)** written consent must be obtained from both the employer and clients who may be affected.
- members and candidates contemplating independent competitive business must
- C)** notify their current employer of the types of services to be rendered, duration, and compensation.
-

Question #25 of 180

Question ID: 1420218

Gary Hoskins, CFA, runs a macro strategy hedge fund. The hedge fund has a short position in July osmium futures. Hoskins attempts to gain control of the available supply of osmium that can be delivered in July, which will cause holders of long July futures to make offsetting trades instead of settling by delivery. Has Hoskins violated the Standard concerning market manipulation?

- A)** Yes.
- B)** No, because Hoskins is executing an arbitrage trade.
- C)** No, because Hoskins is not manipulating the price of osmium.
-

Question #26 of 180

Question ID: 1420234

Isaac Jones, CFA, is a portfolio manager for a major brokerage firm. Jones wishes to buy Maxima common stock for some of his clients' accounts. Jones also wishes to purchase Maxima for his personal account. In accordance with CFA Institute Standards, Jones may purchase Maxima for his personal account:

- A) only after completing the transactions for his clients.
 - B) along with the purchases for his clients, as long as this is disclosed in advance to his clients and employer.
 - C) at any time, as long as the execution price is not more favorable than the execution price received by the clients.
-

Question #27 of 180

Question ID: 1420240

Which of the following statements *best* describes how GIPS requires portfolios to be grouped into composites?

- A) A discretionary portfolio should be included in all composites that are consistent with the assets held.
 - B) All discretionary portfolios must be included in a composite, but only if they are still managed by the firm.
 - C) Each composite must include all discretionary portfolios that the firm has managed according to a particular strategy or style.
-

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Question ID: 1420228

With respect to the responsibilities of supervisors, the Code and Standards state that those with supervisory responsibility:

- A) may not delegate supervisory responsibility.
 - B) are in violation if an employee under their supervision commits securities fraud.
 - C) must institute procedures to prevent and detect violations of rules and regulations by those subject to their supervision.
-

Question #29 of 180

Question ID: 1420224

The Standard concerning suitability recommends that the objectives and constraints of an investment policy statement should be reviewed at least:

- A) annually.
 - B) twice each year.
 - C) every two years.
-

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Question ID: 1420221

A member or candidate who changes his recommendation on a stock can comply with the Standards by communicating this change to clients according to:

- A) size of the client.
 - B) known interest of the client in the stock.
 - C) number of shares of the stock owned by the client.
-

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Question ID: 1420068

George Reilly, CFA, manages the Ivy Foundation portfolio. The Ivy Foundation has a minimum acceptable return of 7%. The current risk-free rate is 6%. Reilly assumes that returns are normally distributed and wants to choose the optimal portfolio for the foundation. The *best* approach Reilly should take is to choose the portfolio that:

- A) maximizes the Sharpe ratio.
 - B) maximizes the safety-first ratio.
 - C) minimizes the standard deviation of returns.
-

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Question ID: 1420102

Items that appear in other comprehensive income, but are excluded from the income statement, include:

- A) losses due to expropriation of assets.
- B) gains and losses due to foreign currency translation.
- C) unrealized gains and losses on trading securities.

Question #33 of 180

Question ID: 1420119

Other things equal, which of the following conditions would place a company highest on a spectrum of financial reporting quality?

- A)** Reported earnings that are not sustainable.
 - B)** Efforts by management to keep net income steady over time.
 - C)** Financial statements that reflect the company's economic activities accurately but are not in compliance with accounting principles.
-

Question #34 of 180

Question ID: 1420113

A company purchases an asset in the first quarter and decides to capitalize the asset. Compared to expensing the asset cost, capitalizing the asset cost will result in higher cash flows in the first quarter from:

- A)** investing.
 - B)** financing.
 - C)** operations.
-

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Question ID: 1420083

Based on the aggregate demand/aggregate supply model:

- A)** an inflationary or recessionary gap may exist in the long run.
 - B)** actual real GDP is equal to potential real GDP in the long run.
 - C)** no upward or downward pressure on the price level is present at short-run equilibrium.
-

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Question ID: 1420067

A continuous uniform distribution is bounded by zero and 20. The probability of an outcome equal to 12 is *closest* to:

- A) 0.00.
 - B) 0.05.
 - C) 0.60.
-

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Question ID: 1420075

The chi-square test *least likely*:

- A) uses a distribution with a lower bound of zero.
 - B) is used to test whether a variance equals a certain value.
 - C) can be used to make inferences even if the population is not normally distributed.
-

Question #38 of 180

Question ID: 1420117

XYZ Company has decided to issue \$10 million of unsecured bonds. If issued today, the 4% semi-annual coupon bonds would require a market interest rate of 12%. Under U.S. GAAP, how will these bonds affect XYZ's statement of cash flows?

- A) The coupon payments will decrease operating cash flow each year and the discount will decrease financing cash flow at maturity.
 - B) The periodic interest expense will decrease operating cash flow and the discount will decrease financing cash flow at maturity.
 - C) The coupon payments and the discount amortization will decrease financing cash flow each year.
-

Question #39 of 180

Question ID: 1420079

A manufacturing plant exhibits diseconomies of scale if long-run average cost (LRAC) is:

- decreasing as output increases, and the plant is at its minimum efficient scale if
- A)** LRAC is at its lowest level.
- decreasing as output increases, and the plant is at its minimum efficient scale if
- B)** LRAC is decreasing over the entire range of output.
- increasing as output increases, and the plant is at its minimum efficient scale if LRAC
- C)** is at its lowest level.
-

Question #40 of 180

Question ID: 1420090

Placing a tariff on imports of a good is *most likely* to decrease:

- A)** producer surplus for domestic producers of the good.
- B)** quantity of the good supplied by domestic producers.
- C)** quantity of the good demanded in the domestic market.
-

Question #41 of 180

Question ID: 1420078

The standard error of estimate in a simple linear regression is equal to:

- A)** the square root of the mean squared error.
- B)** the regression sum of squares divided by the total sum of squares.
- C)** the sum of squared errors divided by the degrees of freedom for the error term.
-

Question #42 of 180

Question ID: 1420112

Data for a manufacturing industry indicate that inventories of work in progress are increasing faster than sales. This is *most likely* to indicate that:

- A)** the business cycle is at a peak.
- B)** inventory is becoming obsolete.
- C)** firms expect demand to increase.

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Question ID: 1420093

Consider two currencies, the VKN and the PKR. The PKR is trading at an annual premium of 2.3% relative to the VKN in the forward market. The 1-year risk-free PKR rate is 3.0%. If no arbitrage opportunities are available, the current 1-year risk-free VKN interest rate is *closest* to:

- A) 0.7%.
 - B) 2.3%.
 - C) 5.3%.
-

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Question ID: 1420062

Frank Jones is considering three separate investments. Investment 1 pays a stated annual interest rate of 6.1%, compounded annually. Investment 2 pays a stated annual interest rate of 6.0%, compounded monthly. Investment 3 pays a stated annual interest rate of 5.9%, compounded quarterly. Which investment should Smith choose?

- A) Investment 1.
 - B) Investment 2.
 - C) Investment 3.
-

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Question ID: 1420104

Jansen Co., a manufacturer of high-end sports equipment, earned \$45 million in net income for the year. The company paid out \$1.30 per share in dividends. Jansen issued 500,000 shares at the beginning of the year at \$20 (1 million shares were outstanding before the issuance). The market value of Jansen's trading securities decreased by \$2.4 million. The increase in Jansen's stockholders' equity is *closest* to:

- A) \$43 million.
- B) \$51 million.

C) \$53 million.

Question #46 of 180

Question ID: 1420097

Mullins Company's financial statements include an auditor's report with a qualified opinion. This *most likely* implies that the:

- A) auditor is reasonably assured that the financial statements are free of material errors.
 - B) financial statements include exceptions to the applicable accounting standards but are presented fairly.
 - C) financial statements are materially out of compliance with the applicable accounting standards and are not presented fairly.
-

Question #47 of 180

Question ID: 1420105

Use of the indirect method of presenting cash flows from operating activities:

- A) is encouraged by both the IASB and FASB.
 - B) illustrates the reasons for the difference between net income and operating cash flow.
 - C) requires disclosure of the cash flows that would be presented using the direct method.
-

Question #48 of 180

Question ID: 1420080

Wilmer Jones owns several restaurants in different cities. His restaurants compete on quality of food and service, price, and marketing. Competitors can enter and exit his markets, and there are usually several competitors in each market. His market structure can *best* be characterized as:

- A) perfect competition.
- B) monopolistic competition.

C) oligopoly.

Question #49 of 180

Question ID: 1420071

When estimating a population mean or constructing a confidence interval based on the central limit theorem:

- A) the midpoint of a confidence interval is a point estimate of the population parameter.
 - B) the degree of significance is the probability that the actual value of the parameter lies within the confidence interval.
 - C) a point estimate with a 95% degree of confidence is more accurate than a point estimate with a 90% degree of confidence.
-

Question #50 of 180

Question ID: 1420073

An analyst has a sample of 28 observations with a sample mean of 14.2% and a sample variance of 0.00131. For a test about the population mean, she should use:

- A) a *t*-test if the population is normally distributed.
 - B) a *z*-test if the population is normally distributed.
 - C) either a *z*-test or a *t*-test regardless of the population distribution..
-

Question #51 of 180

Question ID: 1420100

A firm has undertaken a contract with an estimated total cost of \$500 million at a price of \$800 million. At the end of the first reporting period, the firm has devoted resources of \$180 million to the project. The customer has been billed for \$250 million and made payments of \$160 million. The amount of revenue the firm should record for the period is *closest* to:

- A) \$180 million.
- B) \$250 million.

C) \$290 million.

Question #52 of 180

Question ID: 1420110

Inventory cost is *most likely* to include:

- A) storage costs for finished goods until they are actually sold.
 - B) shipping cost for delivery to the customer.
 - C) an allocation of fixed production overhead.
-

Question #53 of 180

Question ID: 1420091

With regard to the balance of payments, the purchase of rights to natural resources in a country by foreigners would be *most likely* to affect the country's:

- A) capital account.
 - B) current account.
 - C) financial account.
-

Question #54 of 180

Question ID: 1420099

Which of the following statements *most accurately* describes the general features of financial statements under IFRS?

- A) All of the required financial statements are prepared using accrual accounting.
 - B) Assets may not be offset against liabilities unless specifically permitted or required by a standard.
 - C) Prior-period information may only be presented when specifically permitted or required by a standard.
-

Question #55 of 180

Question ID: 1420066

Tony Borden, CFA, is analyzing the earnings of two companies. For each company, Borden estimates a probability that its earnings will exceed the consensus estimate. To estimate the probability that at least one of the companies will exceed its earnings estimate, Borden should use the:

- A)** total probability rule.
 - B)** addition rule of probability.
 - C)** multiplication rule of probability.
-

Question #56 of 180

Question ID: 1420088

A central bank's policy rate is considered expansionary if it is less than:

- A)** the central bank's target inflation rate.
 - B)** the long-term growth rate of real economic output.
 - C)** the sum of the long-term growth rate of real economic output and the target inflation rate.
-

Question #57 of 180

Question ID: 1420116

Dot Corporation uses accelerated depreciation for tax purposes and straight-line depreciation for financial reporting. The company has a large cash position which is invested in tax-free municipal bonds. With regard to Dot's financial statements and tax reporting:

- A)** both the interest income and the depreciation method will necessitate the use of a valuation allowance account.
- B)** the interest income will result in a deferred tax asset and the depreciation method will result in a deferred tax liability.
- C)** the depreciation expense causes a temporary difference between income tax expense and taxes payable, and the interest income creates a permanent difference.

Question #58 of 180

Question ID: 1420084

An analyst who expects the economy to experience stagflation should *most appropriately* recommend investing in:

- A) bonds.
 - B) equities.
 - C) commodities.
-

Question #59 of 180

Question ID: 1420087

The consumer price index is *best* described as:

- A) the inflation rate for a given period of time.
 - B) an unbiased estimate of changes in the cost of living.
 - C) a weighted average cost for a basket of goods and services.
-

Question #60 of 180

Question ID: 1420108

Bivac Corp. has been experiencing a declining return on equity over the past few years. Selected financial statement ratios for Bivac appear below:

	Prior Year	Current Year
Tax Burden	0.60	0.62
Interest Burden	0.80	0.81
EBIT Margin	0.26	0.26
Asset Turnover	1.06	1.06
ROE	0.15	0.14

What is the *most likely* reason for the decline in Bivac's ROE?

- A) Leverage has declined.
- B) The tax rate has increased.

C) Net profit margin has declined.

Question #61 of 180

Question ID: 1420063

Sydney Burns, CFA, is considering the purchase of a bond issued by SubPrime Providers. The bond is highly liquid and has a maturity equal to that of a long-term Treasury bond. The SubPrime Providers bond carries a default risk premium of 5%. Burns notices that the difference in interest rates offered on long-term Treasury bonds and short-term Treasury bills currently equals 4%. The real risk-free rate equals 1% and the expected inflation rate equals 2%. Burns should expect the interest rate on the SubPrime Providers bond to:

- A) be greater than or equal to 4%, and less than or equal to 8%.
 - B) be greater than or equal to 5%, and less than or equal to 9%.
 - C) be greater than or equal to 7%, and less than or equal to 12%.
-

Question #62 of 180

Question ID: 1420089

If there is an increase in the quantity of money at full employment, the long-run effects will *most likely* be:

- A) an increase in the price level and a decrease in real GDP.
 - B) an increase in the price level and no effect on real GDP.
 - C) no effect on the price level and no effect on real GDP.
-

Question #63 of 180

Question ID: 1420118

Shelby Enterprises recently entered into a new \$500 million revolving credit facility. The provisions of the facility require Shelby to repay the loan before any other debt can be retired. In addition, if the company's debt-to-capital ratio is higher than 1.0 or its equity falls below \$2 billion, Shelby will be prohibited from paying any dividends. Shelby would *most likely* agree to these covenants because they reduce:

- A) risk to bondholders.
 - B) the company's interest cost.
 - C) risk to shareholders.
-

Question #64 of 180

Question ID: 1420064

An analyst has calculated the arithmetic, harmonic, and geometric mean using the last 10 years of returns on a stock. Which of these means should the analyst *most appropriately* use to forecast next year's return on the stock?

- A) Harmonic mean.
 - B) Geometric mean.
 - C) Arithmetic mean.
-

Question #65 of 180

Question ID: 1420065

The histogram of returns data for the Accel Equity Fund has a long left tail and is more peaked than a normal distribution. Based on the histogram, the distribution of returns for Accel has:

- A) positive skewness.
 - B) negative skewness.
 - C) negative excess kurtosis.
-

Question #66 of 180

Question ID: 1420098

The objective of financial statements is *best* described as:

- A) aiding in the evaluation of potential equity and debt investments.
- B) providing economic decision makers with useful information about a firm's financial performance and changes in financial position.

- C) providing shareholders detailed information about the performance and financial position of the firm.
-

Question #67 of 180

Question ID: 1420107

A company understates year-end depreciation. As compared to the properly stated year-end results, what effect will this understatement have on the company's asset turnover ratio?

- A) No impact.
 - B) Decrease.
 - C) Increase.
-

Question #68 of 180

Question ID: 1420094

A spot exchange rate is 8.6145 and the 1-year forward quotation is +0.25%. The 1-year forward quotation on a points basis is *closest* to:

- A) 2.
 - B) 25.
 - C) 215.
-

Question #69 of 180

Question ID: 1420101

Thunderbird Company reported net income of \$500 million and the company had 100 million common shares outstanding. In addition, Thunderbird had 5 million shares of convertible preferred and 10 million outstanding warrants during the year. Each preferred share pays a dividend of \$4 per share and is convertible into three common shares. Each warrant is convertible into one common share at \$25 per share. The company's stock traded at an average \$50 per share. Thunderbird's diluted earnings per share for the year is *closest* to:

- A) \$4.00 per share.

B) \$4.20 per share.

C) \$4.80 per share.

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Question ID: 1420077

The regression line in a simple linear regression model minimizes the sum of the squared differences between:

A) the values of the dependent variable and its mean.

B) the predicted and actual values of the dependent variable.

C) the model's errors and the standard error of the dependent variable.

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Question ID: 1420096

Declaration and payment of a dividend during the most recent accounting period would be shown on a company's statements of:

A) cash flows and changes in equity.

B) cash flows and comprehensive income.

C) changes in equity and comprehensive income.

Question #72 of 180

Question ID: 1420081

Which of the following *most likely* describes a loss that consumers suffer under an unregulated monopoly compared to a competitive market?

A) Monopolies produce less goods than a competitive market would.

B) Costs of production are higher with monopolies.

C) Monopolists charge the maximum price.

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Question ID: 1420106

During 20X1, Tusa Company sold machinery with an original cost of \$100,000, and recognized a \$15,000 gain from the sale. At the time of the sale, the accumulated depreciation of the machinery was \$80,000. Ignoring taxes, the machinery sale will produce a:

- A)** \$15,000 inflow from investing activities.
 - B)** \$20,000 inflow from operating activities.
 - C)** \$35,000 inflow from investing activities.
-

Question #74 of 180

Question ID: 1420074

Pat Harris, CFA, examines earnings data for 3 energy companies:

Company	Average per-share	
	quarterly earnings	p-value
Axxon Industries	\$2.00	0.25
Babson Drilling	\$0.50	0.04
Cerex Energy	\$3.00	0.01

Harris is asked to test the hypothesis for each company that mean earnings equal zero. Using a 5% level of significance, Harris should conclude that the null hypothesis should be rejected for:

- A)** Babson only.
 - B)** Axxon and Cerex only.
 - C)** Babson and Cerex only.
-

Question #75 of 180

Question ID: 1420111

For the last few years, firms in an expanding industry have found it more difficult to keep up with consumer demand despite steadily increasing inventory levels. The Consumer Price Index (CPI) has been at a level of 1050, 1060, and 1087 in the last three years. Given this situation, a firm in this industry that seeks to report higher net income would *most likely* prefer which inventory accounting method?

- A) LIFO.
 - B) FIFO.
 - C) Average cost.
-

Question #76 of 180

Question ID: 1420120

Jo Evans, CFA, analyzes the financial statements of Shubert Company and writes, "Shubert's earnings, while sustainable, provide an inadequate return to shareholders." Evans has expressed a concern with Shubert's:

- A) quality of reported results only.
 - B) financial reporting quality only.
 - C) quality of reported results and financial reporting quality.
-

Question #77 of 180

Question ID: 1420086

The national government has undertaken a plan to combat a recession that includes a fiscal stimulus package. The school of economic thought *most likely* to support this action is the:

- A) Neoclassical.
 - B) Keynesian.
 - C) Monetarist.
-

Question #78 of 180

Question ID: 1420072

A method of estimating the standard error of the sample mean that involves calculating the means of repeated samples, each with one observation omitted from the initial samples, is most appropriately termed the:

- A)** jackknife method.
 - B)** bootstrap method.
 - C)** sample reduction method.
-

Question #79 of 180

Question ID: 1420085

Under the production function approach to modeling economic growth, will growing an economy's amount of physical capital at a constant rate support long-term economic growth at that rate?

- A)** No, because physical capital depreciates over time.
 - B)** Yes, because output is a positive function of both labor and capital.
 - C)** No, because physical capital exhibits diminishing marginal productivity.
-

Question #80 of 180

Question ID: 1420115

Selected information on Reckner Company's income taxes appears in the following table:

	20X1	20X2	20X3
Taxes payable	250	500	500
Deferred tax assets	200	300	200
Deferred tax liabilities	200	300	400

Compared to 20X2, Reckner's 20X3 income tax expense:

- A)** increased.
 - B)** decreased.
 - C)** remained the same.
-

Question #81 of 180

Question ID: 1420114

A decrease in accumulated depreciation is *most likely* to result from:

- A) selling or disposing of a long-lived asset.
 - B) increasing the salvage value of a long-lived asset.
 - C) decreasing the estimated useful life of a long-lived asset.
-

Question #82 of 180

Question ID: 1420095

Which of the following statements about the elasticities and absorption approaches to explaining the impact of exchange rate changes on trade deficits is *most accurate*?

- A) Both the elasticities and absorption approaches consider trade and capital flows.
Under the elasticities approach, currency depreciation will result in greater
 - B) improvement in the trade deficit when either import or export demand becomes more elastic.
 - C) Under the absorption approach, depreciation of the domestic currency will improve a trade deficit if it increases national expenditures relative to income.
-

Question #83 of 180

Question ID: 1420069

The continuously compounded annual rate of return that would increase the value of an investment by 20% in three years is *closest* to:

- A) 5.7%.
 - B) 6.1%.
 - C) 6.7%.
-

Question #84 of 180

Question ID: 1420076

For a test with sample size n of whether two variables are correlated, the critical values are based on:

- A) n degrees of freedom.
 - B) $n - 1$ degrees of freedom.
 - C) $n - 2$ degrees of freedom.
-

Question #85 of 180

Question ID: 1420103

Magnus Aerospace produces and sells aircraft and has approximately a 2-year operating cycle. Magnus's liabilities include commercial paper due in 270 days, a bank note due in one year, and bonds that will mature in 18 months. Magnus should *most appropriately* classify as current liabilities:

- A) all of these liabilities.
 - B) only the commercial paper.
 - C) the commercial paper and the bank note.
-

Question #86 of 180

Question ID: 1420082

Which model of pricing strategy under imperfect competition requires that firms be able to identify groups of customers that have different elasticities of demand?

- A) Nash equilibrium.
 - B) Price discrimination.
 - C) Kinked demand curve.
-

Question #87 of 180

Question ID: 1420092

An advantage of a common market, relative to a customs union or a free trade area, is that a common market:

- A) adopts a single currency.

- B)** removes barriers to movement of labor and capital.
 - C)** establishes common institutions and economic policy.
-

Question #88 of 180

Question ID: 1420109

Hazel Edwards, CFA, is analyzing Collins Footwear, Inc. and obtains the following data for the company's major geographic segments:

	Asia	Europe	North America
Sales (U.S. dollars)	\$200 million	\$300 million	\$500 million
Net profit margin	4.5%	3.0%	1.5%
Asset turnover	1.5×	2.5×	4.0×

Based on these data, Edwards should conclude that Collins's:

- A)** smallest segment by assets is Asia.
 - B)** most profitable segment by return on assets is Europe.
 - C)** most profitable segment by net income is North America.
-

Question #89 of 180

Question ID: 1420070

To select the correct Student's *t*-distribution for a hypothesis test, a researcher must identify its:

- A)** mean and variance only.
 - B)** degrees of freedom only.
 - C)** mean, variance, and degrees of freedom.
-

Question #90 of 180

Question ID: 1420121

An analyst gathers the following selected financial information on Quip Corp.

Partial financials for 20X8 Quip Corp

Sales	\$350,000
Cost of goods sold	270,000
Net income	35,000
Current assets	165,000
Current liabilities	130,000
20X8 LIFO reserve	30,000
20X7 LIFO reserve	20,000

To compare Quip and its competitors, an analyst makes the necessary adjustments to restate Quip's financial statements to reflect the FIFO inventory accounting method.

Quip's adjusted gross profit margin is *closest* to:

- A) 20%.
 - B) 23%.
 - C) 26%.
-

Question #91 of 180

Question ID: 1420205

Stephanie Dell is evaluating two stocks (X and Y) using the capital asset pricing model. Dell predicts that the betas for the two stocks will be identical but that the unsystematic risk for Stock X will be much higher than for Stock Y. According to the capital asset pricing model, in equilibrium:

- A) Stock X will have a higher expected return than Stock Y but a standard deviation equal to Stock Y.
 - B) Stock X will have a higher standard deviation than Stock Y but an expected return equal to Stock Y.
 - C) both the expected return and standard deviation for Stock X will be higher than Stock Y.
-

Question #92 of 180

Question ID: 1420126

Martin Zwingle is making a capital allocation decision with regard to a new project. The initial expense of the project would cause the company's earnings per share for the current year to come in below analysts' expectations. If Zwingle decides against the project, his firm will allocate his division a smaller capital budget next year. Which of these factors are appropriate for Zwingle to include in the capital allocation decision?

- A) Both of these factors are appropriate.
 - B) Neither of these factors is appropriate.
 - C) Only one of these factors is appropriate.
-

Question #93 of 180

Question ID: 1420127

Mentemeyer Corporation is a small firm that needs to increase short-term liquidity but has weak credit. The source of short-term financing that would *most likely* be available to Mentemeyer is:

- A) commercial paper.
 - B) nonbank finance companies.
 - C) a revolving credit agreement.
-

Question #94 of 180

Question ID: 1420209

Which of the following fintech applications is *most likely* to use distributed ledger technology?

- A) Real-time clearing and settlement of securities trades.
 - B) High-frequency trading to take advantage of intraday price discrepancies.
 - C) Automated review of employees' voice communications to detect misconduct.
-

Question #95 of 180

Question ID: 1420128

While analyzing HMS Inc., Fred Browne notes that the company's liquidity as measured by its quick ratio has decreased over time while its current liabilities have remained constant. This could be explained by:

- A)** a decrease in inventory.
 - B)** an increase in marketable securities.
 - C)** a decrease in accounts receivable.
-

Question #96 of 180

Question ID: 1420201

Compared to a normal distribution, historical returns on major asset classes in developed markets have exhibited:

- A)** less frequent large positive deviations.
 - B)** more frequent large negative deviations.
 - C)** the expected frequency of large deviations.
-

Question #97 of 180

Question ID: 1420200

Which of the following pooled investments is likely to require the smallest minimum investment amount?

- A)** Wrap fee account.
 - B)** Market neutral fund.
 - C)** Closed-end mutual fund.
-

Question #98 of 180

Question ID: 1420134

The capital structure theory that implies an optimal capital structure employing both debt and equity is:

- A)** pecking order theory.
- B)** static trade-off theory.

C) Modigliani and Miller with taxes.

Question #99 of 180

Question ID: 1420123

Which of the following is *most likely* to create an incentive for senior managers to act in the best interests of shareholders?

- A) A one-tier board structure.
 - B) The threat of a hostile takeover.
 - C) A cash bonus for meeting short-term performance targets.
-

Question #100 of 180

Question ID: 1420130

Barber Corporation has bonds outstanding with market value and par value both equal to \$30 million and a YTM of 4%. Barber's target capital structure is 25% debt, 25% preferred stock, and 50% equity. Barber's tax rate is 25%. Interest costs are tax deductible, up to a maximum of \$1.40 million per year. In evaluating a new capital project with a cost of \$20 million, which of the following is closest to the cost of debt Barber management should use for this project?

- A) 3.0%.
 - B) 3.2%.
 - C) 4.0%.
-

Question #101 of 180

Question ID: 1420132

The asset beta of a firm equals its equity beta if:

- A) the company has no debt.
 - B) the company has no equity.
 - C) the company's debt equals its equity.
-

Question #102 of 180

Question ID: 1420202

Boswell is less risk-averse than Johnson. Using the same capital allocation line for Boswell and Johnson, Boswell will have:

- A)** a higher risk aversion coefficient than Johnson.
 - B)** steeper risk-return indifference curves than Johnson.
 - C)** an optimal portfolio with a higher expected return than Johnson.
-

Question #103 of 180

Question ID: 1420124

Joanne Soto is responsible for implementing her firm's environmental, social, and governance (ESG) investing goals. Soto decides on a best-in-class approach to ESG investing. Soto will *most likely* instruct her firm's portfolio managers to use:

- A)** positive screening.
 - B)** full integration.
 - C)** active ownership.
-

Question #104 of 180

Question ID: 1420136

Archer Company produces components that sell for \$3.50 per unit. Archer has fixed financing costs of \$125,000 and fixed operating costs of \$275,000. Archer's variable costs are \$2.50 per unit. Archer will:

- A)** break even if it sells 275,000 units.
 - B)** experience a net loss if it sells 325,000 units.
 - C)** earn positive net income if it sells 375,000 units.
-

Question #105 of 180

Question ID: 1419681

A firm has one actively traded bond issue outstanding, with a 6% coupon and a yield to maturity of 5%. When estimating the firm's weighted average cost of capital (WACC), the appropriate after-tax cost of debt capital is:

- A)** between 5% and 6%.
 - B)** less than 5%.
 - C)** equal to 6%.
-

Question #106 of 180

Question ID: 1420208

The sensitivity of a derivative's value to the price of the underlying asset is measured by the derivative's:

- A)** beta.
 - B)** delta.
 - C)** gamma.
-

Question #107 of 180

Question ID: 1420133

Under Modigliani and Miller's assumptions, if taxes exist and interest costs are tax-deductible, the optimal proportion of debt in a firm's capital structure:

- A)** is 100%.
 - B)** increases linearly with the tax rate.
 - C)** depends on the costs of financial distress.
-

Question #108 of 180

Question ID: 1420137

Other things equal, a company's operating breakeven level of sales is *most likely* to increase when:

- A)** the tax rate is increased.
- B)** its scale of operations is increased.

C) fixed interest charges are increased.

Question #109 of 180

Question ID: 1420203

The standard deviation of returns for a portfolio of risky assets is:

- A) less than the standard deviation of the least risky asset.
 - B) greater than the standard deviation of the least risky asset.
 - C) less than or equal to the standard deviation of the most risky asset.
-

Question #110 of 180

Question ID: 1420131

The cost of preferred equity in a company's capital structure is based on the relationship between a preferred share's:

- A) dividend and par value.
 - B) dividend and market price.
 - C) dividend yield and expected growth.
-

Question #111 of 180

Question ID: 1420135

To choose the weights for a firm's weighted average cost of capital (WACC), an analyst would *most* prefer to use the

- A) firm's current debt and equity weights based on market value.
 - B) firm's stated target capital structure even if recent fund raising has diverged slightly from the target weights.
 - C) average debt and equity weights based on market value of the firm's competitors.
-

Question #112 of 180

Question ID: 1420129

Drags on liquidity are *most likely* to include:

- A) inventory obsolescence.
 - B) paying vendors too soon.
 - C) suppliers requiring payment sooner.
-

Question #113 of 180

Question ID: 1420199

An equally weighted portfolio of five securities has a standard deviation of returns of 10%. The average standard deviation of returns of the five securities is 15%. If another security with a standard deviation of returns of 15% is added to the portfolio, and the weights are adjusted to restore equal weighting, the portfolio's diversification ratio is *most likely* to:

- A) increase.
 - B) decrease.
 - C) remain unchanged.
-

Question #114 of 180

Question ID: 1420138

A company with which of the following leverage measures would exhibit the least sensitivity of earnings per share to a change in sales?

<u>Degree of operating leverage</u>	<u>Degree of financial leverage</u>
A) 1.5	3.0
B) 2.0	2.5
C) 2.5	2.0

Question #115 of 180

Question ID: 1420125

An appropriate way to address the effectiveness of a company's management in creating value for shareholders is to compare the company's:

- A) net profit margin to its cost of equity.
 - B) weighted average cost of capital to its return on invested capital.
 - C) total cost of debt and equity financing to its earnings before interest and taxes.
-

Question #116 of 180

Question ID: 1420122

A company's corporate governance procedures, with respect to stakeholder management, are *best* described as part of its:

- A) legal infrastructure.
 - B) contractual infrastructure.
 - C) organizational infrastructure.
-

Question #117 of 180

Question ID: 1420206

The problem of investment managers taking offsetting active positions is *most likely* addressed by employing:

- A) risk budgeting.
 - B) tactical asset allocation.
 - C) a core-satellite approach.
-

Question #118 of 180

Question ID: 1420204

Bearing unsystematic risk should provide no additional expected return:

- A) under any circumstances.
- B) if diversification is cost-free.
- C) in a strong-form efficient market.

Question #119 of 180

Question ID: 1420207

An investor who would only sell shares he owns for \$58 or more, but would not buy the same shares for more than \$53, is exhibiting:

- A)** status quo bias.
 - B)** endowment bias.
 - C)** conservatism bias.
-

Question #120 of 180

Question ID: 1379746

An investor buys a non-dividend paying stock for \$100 at the beginning of the year with 50% initial margin. At the end of the year, the stock price is \$95. Deflation of 2% occurred during the year. Which of the following return measures for this investment will be greatest?

- A)** Real return.
 - B)** Nominal return.
 - C)** Leveraged return.
-

Question #121 of 180

Question ID: 1420187

In a one-period binomial model for option pricing, the probabilities of an up-move or a down-move are:

- A)** equal.
 - B)** assumed by the modeler.
 - C)** calculated from the model inputs.
-

Question #122 of 180

Question ID: 1420162

A bond pays a quarterly coupon of 8% minus one-half of annual 90-day LIBOR. This bond is *most accurately* classified as a:

- A) leveraged instrument.
 - B) participation instrument.
 - C) yield enhancement instrument.
-

Question #123 of 180

Question ID: 1420192

A leveraged buyout fund is evaluating Siena Company relative to its peer companies. Siena is *most likely* a good candidate for a management buy-in if it has:

- A) higher cash flow and less capable managers than its peers.
 - B) lower cash flow and more capable managers than its peers.
 - C) higher cash flow and more capable managers than its peers.
-

Question #124 of 180

Question ID: 1420144

Aros Funds manages a family of mutual funds and employs a team of fundamental analysts, who research firms by analyzing financial statements and SEC filings. Under which form(s) of the efficient market hypothesis (EMH) would Aros Funds have the potential to achieve positive risk-adjusted returns consistently using fundamental analysis?

- A) Weak form only.
 - B) Semistrong form and weak form.
 - C) No form of the EMH is consistent with earning positive risk-adjusted returns using fundamental analysis.
-

Question #125 of 180

Question ID: 1420147

An investor in a sponsored depository receipt (DR):

- A) holds the voting rights for the DR shares.
 - B) must obtain the foreign currency in which the DR is traded.
 - C) should be familiar with market procedures and regulations in the DR issuer's country.
-

Question #126 of 180

Question ID: 1420168

Which of the following mortgage-backed securities is *most likely* to feature credit tranching?

- A) Collateralized mortgage obligations.
 - B) Commercial mortgage-backed securities.
 - C) Agency residential mortgage-backed securities.
-

Question #127 of 180

Question ID: 1420161

With respect to fixed income markets, the "grey market" refers to trading in:

- A) bearer bonds.
 - B) bonds that have not yet been issued.
 - C) bonds that were issued in private placements.
-

Question #128 of 180

Question ID: 1420154

Ian Goode, CFA, is analyzing the price of the preferred stock of MegaGym. Goode estimates that MegaGym's earnings growth rate over the next five years will be 20%, and that MegaGym's earnings will then grow at a sustainable rate of 5%. The *most appropriate* method for Goode to value MegaGym's preferred stock is to:

- A) use a justified price-to-earnings multiple.
- B) use a multistage dividend discount model with 20% growth for five years and 5% thereafter.

- C) divide the preferred dividend by the required rate of return on MegaGym's preferred stock.
-

Question #129 of 180

Question ID: 1420179

Roland Carlson owns a portfolio of large capitalization stocks. Carlson has a positive long-term outlook for the stock market, but would like to protect his portfolio from any sudden declines in the stock market, without selling his holdings. The *most likely* way for Carlson to achieve his objective of limiting the downside risk of his portfolio is to:

- A) sell put options on the S&P 500.
 - B) sell an S&P 500 futures contract.
 - C) buy an S&P 500 forward contract.
-

Question #130 of 180

Question ID: 1420166

Which of the following forward rates can be used to construct a forward yield curve?

- A) 1-year and 2-year forward rates one year from now.
 - B) 1-year forward rates one year and two years from now.
 - C) 1-year forward rate one year from now and 2-year forward rate two years from now.
-

Question #131 of 180

Question ID: 1420149

Industry rotation is *best* described as:

- A) adjusting the industry weights in a portfolio based on the current stage of the business cycle.
- B) a recommended practice of periodically changing the industries that investment analysts are assigned to cover.

- C) the long-term trend of talented managers and employees exiting mature and declining industries and entering embryonic and growth industries.
-

Question #132 of 180

Question ID: 1420189

An alternative investment partnership with a 2-and-20 fee structure has increased in value each period and earned a return of 8% net of management fees in 20x7. Under which of the following provisions would incentive fees for 20x7 be the highest?

- A) 5% hard hurdle rate and a high water mark provision.
 - B) 6% soft hurdle rate and a high water mark provision.
 - C) 7% hard hurdle rate and no high water mark provision.
-

Question #133 of 180

Question ID: 1420160

Contingent convertible bonds are described *most accurately* as those which, if a specified event occurs:

- A) become convertible to equity.
 - B) convert automatically to equity.
 - C) increase the equity conversion ratio.
-

Question #134 of 180

Question ID: 1420146

Sacco, Inc., has nine directors on its board. Three seats are elected annually using a cumulative voting system. An investor who owns 600 shares of Sacco common stock may give a maximum of:

- A) 600 votes to a single board candidate.
 - B) 1,800 votes to a single board candidate.
 - C) 600 votes to a candidate for each board seat.
-

Question #135 of 180

Question ID: 1420142

Which of the following types of index is *least likely* to require frequent reconstitution of constituent securities?

- A) Equity index.
 - B) Commodity index.
 - C) Fixed income index.
-

Question #136 of 180

Question ID: 1420169

A synthetic collateralized debt obligation is backed by a portfolio of:

- A) credit default swaps.
 - B) structured securities.
 - C) bonds and other CDOs.
-

Question #137 of 180

Question ID: 1420185

The time value of a put option on an asset that provides no cash flows would *most likely* be increased by:

- A) an increase in the exercise price.
 - B) an increase in the asset's price volatility.
 - C) a decrease in the value of the underlying asset.
-

Question #138 of 180

Question ID: 1420190

Compared to traditional investments, alternative investments are *least likely* to exhibit:

- A) higher fees.

- B) less manager specialization.
 - C) more concentrated portfolios.
-

Question #139 of 180

Question ID: 1420153

An investor places a market order to buy a stock on the holder-of-record date for the stock's next dividend. Is the investor entitled to receive this dividend?

- A) No, because the order is placed after the declaration date.
 - B) No, because the order is settled after the holder-of-record date.
 - C) Yes, because the order is executed on the holder-of-record date.
-

Question #140 of 180

Question ID: 1420175

Ann Lloyd, CFA, observes that a 3-year senior unsecured bond of Hawk, Inc. has a rating of Baa3/BBB- and a 3-year senior unsecured bond of Osprey, Inc. has a rating of Ba1/BB+. Based only on this information, Lloyd can *most appropriately* conclude that:

- A) credit risk is greater for the Osprey bond than for the Hawk bond.
 - B) loss severity is greater for the Osprey bond than for the Hawk bond.
 - C) the Hawk bond is investment grade and the Osprey bond is non-investment grade.
-

Question #141 of 180

Question ID: 1420193

Because of biases in return measurements, hedge fund data are *most likely* to:

- A) overstate returns and overstate risk.
 - B) overstate returns and understate risk.
 - C) understate returns and overstate risk.
-

Question #142 of 180

Question ID: 1420151

In the industry life cycle model, the threat of new entry into an industry is greatest during the:

- A)** mature stage.
 - B)** growth stage.
 - C)** embryonic stage.
-

Question #143 of 180

Question ID: 1420156

An analyst develops the following information to value a common stock.

- Last year's earnings per share = \$4.00
- Real risk-free rate = 4%
- Inflation premium = 5%
- Return on equity (ROE), expected to remain constant in the future = 10%
- Dividend payout, expected to remain stable in the future = 30%
- Stock's beta = 1.4
- Expected market return = 14%

The value per share is *closest* to:

- A)** \$14.39.
 - B)** \$21.28.
 - C)** \$31.39.
-

Question #144 of 180

Question ID: 1420164

Bond X and Bond Y were issued at a premium to par value three years ago. Bond X matures in five years, and Bond Y matures in ten years. Both bonds carry the same credit rating. Bond X has a coupon of 7.25%, and Bond Y has a coupon of 8.00%. If the yield to maturity for both bonds is 7.60% today:

- A)** both bonds are priced at a premium.
- B)** Bond X is priced at a premium, and Bond Y is priced at a discount.

C) Bond X is priced at a discount, and Bond Y is priced at a premium.

Question #145 of 180

Question ID: 1420186

An investor uses options on a stock to create a synthetic short position in a risk-free bond that will pay the exercise price at option expiration. To create this position, the investor will buy:

- A)** a put option.
 - B)** a call option.
 - C)** the underlying stock.
-

Question #146 of 180

Question ID: 1420140

Kate Johnson, CFA, owns shares of a stock that currently trades at \$15. If Johnson wants to buy more shares if the price increases to \$17, she should enter a:

- A)** stop buy order at \$17.
 - B)** limit order to buy at \$17.
 - C)** market order to buy at \$17.
-

Question #147 of 180

Question ID: 1420194

A commodity market is in contango if the spot price is:

- A)** higher than futures prices.
 - B)** equal to futures prices.
 - C)** lower than futures prices.
-

Question #148 of 180

Question ID: 1420159

A waterfall structure in a securitized bond issue:

- A) is a form of external credit enhancement.
 - B) allows the entire issue to obtain a better credit rating.
 - C) gives some bondholders a higher priority of claims than others.
-

Question #149 of 180

Question ID: 1420181

A put option with an exercise price of \$75 sells for a premium of \$10. At expiration, the put buyer may experience a loss:

- A) of as much as \$10.
 - B) of as much as \$65.
 - C) that is theoretically unlimited.
-

Question #150 of 180

Question ID: 1420172

Chris Renburg owns the following portfolio of option-free bonds:

Par value	Full price	Duration
\$3,000,000	\$2,400,000	4.625
\$3,500,000	\$3,600,000	7.322
<u>\$1,500,000</u>	<u>\$1,200,000</u>	9.300
\$8,000,000	\$7,200,000	

The duration of Renburg's bond portfolio is *closest* to:

- A) 6.6.
 - B) 6.8.
 - C) 7.0.
-

Question #151 of 180

Question ID: 1420148

The *most likely* reason that a company's book value of equity and the market value of its equity securities may be different is that:

- A) market value of equity securities includes preferred stock, but the book value of equity does not.
 - B) the issuance of new equity will increase the book value of equity, but will not affect the share price.
 - C) the market value of equity securities reflects investor expectations about future performance, but book value of equity does not.
-

Question #152 of 180

Question ID: 1420152

A firm attempts to gain market share from its competitors by improving its manufacturing efficiency so that it can increase output and reduce the price of its product. This firm's competitive strategy is *most accurately* described as:

- A) an offensive differentiation strategy.
 - B) an offensive cost leadership strategy.
 - C) a defensive cost leadership strategy.
-

Question #153 of 180

Question ID: 1420163

Which of the following sources of short-term funding for banks is *most likely* to have the lowest interest cost?

- A) Interbank funds.
 - B) Checking deposits.
 - C) Central bank funds.
-

Question #154 of 180

Question ID: 1420180

A characteristic that distinguishes derivatives from ETFs is that derivatives:

- A) transform the performance of their underlying assets.
 - B) are contingent claims on the performance of their underlying assets.
 - C) derive their performance from the performance of their underlying assets.
-

Question #155 of 180

Question ID: 1420195

The indexing method for evaluating the performance of real estate that will *most likely* exhibit the lowest standard deviation of returns is:

- A) a REIT index.
 - B) an appraisal index.
 - C) a repeat-sales index.
-

Question #156 of 180

Question ID: 1420173

Which of the following bonds is *most likely* to have the greatest convexity at a yield to maturity of 3.5%?

- A) 2-year, 3% coupon bond.
 - B) 5-year, 4% coupon bond.
 - C) 10-year, zero-coupon bond.
-

Question #157 of 180

Question ID: 1420177

Yield spreads are *most likely* to widen in a market environment that exhibits:

- A) slowing economic growth.
 - B) high GDP growth rates.
 - C) lower-than-normal supply of new bond issuance.
-

Question #158 of 180

Question ID: 1420141

A securities exchange is structured as a call market. On that exchange, a stock would trade at:

- A)** any time the market is open.
 - B)** one negotiated price that clears the market.
 - C)** prices set by auction or by dealer bid-ask quotes.
-

Question #159 of 180

Question ID: 1420157

Enterprise value is *most accurately* interpreted as the:

- A)** cost to take over a firm.
 - B)** fair market value of a firm's equity.
 - C)** market value of a firm's equity plus the market value of its debt.
-

Question #160 of 180

Question ID: 1420191

The period of time during which a private capital fund will select investments and direct committed capital to them is *best* described as a:

- A)** notice period.
 - B)** lockup period.
 - C)** drawdown period.
-

Question #161 of 180

Question ID: 1420167

Kathy Hurst, CFA, is valuing a 4-year zero coupon security and has acquired the following information:

1-year spot rate	6.0%
4-year spot rate	7.5%
1-year forward rate 1 year from now	7.3%
1-year forward rate 3 years from now	8.9%

The 1-year forward rate 2 years from now is *closest* to:

- A) 7.3%.
 - B) 7.8%.
 - C) 8.0%.
-

Question #162 of 180

Question ID: 1420184

Which of the following is *least likely* a pure arbitrage strategy?

- A) Selling a forward contract and buying the underlying asset.
 - B) Borrowing at 1-year LIBOR and buying a 5-year Treasury bond.
 - C) Borrowing at 30-day LIBOR, lending at 90-day LIBOR, and buying a 30-day FRA on 60-day LIBOR.
-

Question #163 of 180

Question ID: 1420150

James Martindale, CFA, manages a small mutual fund specializing in defensive stocks. For this fund, Martindale will buy stocks with:

- A) high beta.
 - B) low systematic risk.
 - C) low price-to-earnings ratios.
-

Question #164 of 180

Question ID: 1420145

In an informationally efficient capital market, a portfolio manager who follows an active investment strategy is *most likely* to:

- A) outperform a passive index strategy on average over time.
 - B) underperform a passive index strategy on average over time.
 - C) earn the same net return over time as a passive index strategy.
-

Question #165 of 180

Question ID: 1420183

For an underlying asset with no holding costs or benefits, the no-arbitrage forward price equals:

- A) the spot price.
 - B) the future value of the spot price.
 - C) zero at initiation of a forward contract.
-

Question #166 of 180

Question ID: 1420174

Effective duration is the *most appropriate* measure of interest rate risk when:

- A) a bond's credit rating may change significantly.
 - B) the investor is seeking to minimize a duration gap.
 - C) the path of interest rate changes affects a bond's cash flows.
-

Question #167 of 180

Question ID: 1420178

A bond indenture states that the source of funds for repayment will be tolls paid by drivers using a highway constructed with the bond proceeds. This bond is *most likely* a:

- A) secured bond.
- B) revenue bond.

C) quasi-government bond.

Question #168 of 180

Question ID: 1420170

A collateralized mortgage obligation with agency RMBS as the collateral is *least likely* to be created to offer securities with less:

- A) default risk than the underlying RMBS.
 - B) extension risk than the underlying RMBS.
 - C) prepayment risk than the underlying RMBS.
-

Question #169 of 180

Question ID: 1420158

Jim Boo, CFA, is analyzing Justin Corp., a maker of home appliances. Boo's research provides the following facts:

- Justin's stock price is \$60 per share.
- Expected growth rate of dividends is 5%.
- Expected retention ratio is 60%.
- Required rate of return is 10%.

Justin's expected price to earnings ratio (P_0/E_1) is *closest* to:

- A) 8.0x.
 - B) 10.0x.
 - C) 12.0x.
-

Question #170 of 180

Question ID: 1420197

Measures of downside risk such as the Sortino ratio are *most likely* to be more appropriate than standard deviation for measuring risk of a:

- A) macro strategy fund.
- B) real estate investment trust.

C) commodity exchange-traded fund.

Question #171 of 180

Question ID: 1420188

The right to exercise an option prior to expiration is *most likely* to have value for:

- A) a deep in-the-money call option on an asset with no cash flows.
 - B) an at-the-money put option on an asset with positive cash flows.
 - C) an at-the-money call option on an asset with positive cash flows.
-

Question #172 of 180

Question ID: 1420143

A given percentage change in one of the 30 stocks in the Dow Jones Industrial Average (DJIA) will have the greatest impact on the DJIA for which index stock?

- A) The one whose total equity has the highest market value.
 - B) The one whose stock trades at the highest dollar price per share.
 - C) The one having the greatest amount of equity in its capital structure.
-

Question #173 of 180

Question ID: 1420176

Bond X carries a rating of BBB-/Baa3. Bond Y has a rating of B/B2. Both bonds mature in 10 years. Which bond's value would be *most* affected by a ratings downgrade, and which bond has the higher default risk?

- A) Bond X would be more affected by a ratings downgrade, but Bond Y has higher default risk.
 - B) Bond Y would be more affected by a ratings downgrade, but Bond X has higher default risk.
 - C) Bond X has higher default risk, but both bonds would experience similar effects of a ratings downgrade.
-

Question #174 of 180

Question ID: 1420139

An investor purchased a stock for \$60 a share using margin from his broker. If the initial margin requirement is 40%, and the maintenance margin requirement is 20%, a margin call will initially be triggered below a share price of:

- A) \$30.
 - B) \$45.
 - C) \$48.
-

Question #175 of 180

Question ID: 1420198

Arkex Funds is a hedge fund with a value of \$100 million at the beginning of the year. Arkex Funds charges a 2.0% management fee based on assets under management at the beginning of the year and a 20.0% incentive fee with a 5.0% hard hurdle rate. Incentive fees are calculated net of management fees. The value of the fund at the end of the year before fees is \$110 million. The net return to investors is *closest* to:

- A) 6.8%.
 - B) 7.4%.
 - C) 8.0%.
-

Question #176 of 180

Question ID: 1420182

An investor buys an October 80 put option on a stock for a premium of \$5. On the expiration date the stock price is 78 per share. The investor's gain or loss on the option is:

- A) a loss of \$2.
 - B) a loss of \$3.
 - C) a gain of \$2.
-

Question #177 of 180

An investor buys an annual pay, 4% coupon bond for 102. The trade will settle immediately after the annual coupon payment and the bond has five years left to maturity. The investor sells the bond two years later for 101.5. The investor's holding period return on the bond includes:

- A) a capital loss.
 - B) a capital gain.
 - C) neither a capital loss nor gain.
-

Question #178 of 180

Question ID: 1420165

Gerald Snow is a bond manager for Long Vision Investments. Snow is evaluating potential arbitrage opportunities. He has the following list of bonds:

- Bond X is a 1-year zero coupon bond selling at 950.
- Bond Y is a 2-year zero coupon bond selling at 850.
- Bond Z is a 2-year bond with an annual coupon of 8%.

All three bonds have a par value of \$1,000. If no arbitrage opportunity exists, the price of Bond Z is *closest* to:

- A) \$975.
 - B) \$995.
 - C) \$1,015.
-

Question #179 of 180

Question ID: 1420196

A long-only commodity investment is *most likely* to:

- A) perform poorly in inflationary periods.
 - B) have a high correlation with equity returns.
 - C) be implemented by using derivatives.
-

Larry Rile is evaluating the investment merits of Bing Corp., a successful motorcycle manufacturer. Rile is forecasting a dividend in year 1 of \$1.50 per share, a dividend in year 2 of \$3.00 per share, and a dividend in year 3 of \$4.50 per share. After year 3, Rile expects dividends to grow at the rate of 6% per year. Rile calculates a beta of 1.3 for Bing. Rile expects the S&P 500 index to return 8%. The U.S. Treasury bill is yielding 2%. Using the multistage dividend discount model, Bing's intrinsic value is *closest* to:

- A)** \$92 per share.
- B)** \$102 per share.
- C)** \$112 per share.